CHAPTER 1: Introduction

Entrepreneurship; Entrepreneur, Entrepreneurial Environment

Objectives:

- To describe entrepreneurship as a process, Entrepreneurs as actors in the process and Entrepreneurial Environment as the space where the process takes place.
- To explain steps in the entrepreneurship Process.
- To describe the entrepreneurial mindset and entrepreneurial traits
- To explain the nature of entrepreneurial environment

Introduction

Entrepreneurship process suggests that there are steps or phases that actors go through in their entrepreneurial endeavors. The one who pursues the entrepreneurial process is referred to as an entrepreneur and the space in which entrepreneurs carryout their entrepreneurial activities is called the Entrepreneurial Environment. It is therefore important for those who study entrepreneurship to understand the process, the traits of those who carry out the process and the environment in which the process is carried out.

1. **Entrepreneurship Process:**

At start-up, the entrepreneurship process is a course of action that involves all functions, activities and actions associated with identifying and evaluating perceived opportunities and the bringing together of resources necessary for the successful formation of a new firm to pursue and seize the said opportunities.

Entrepreneurial Activity

Entrepreneurial Activity is the act of designing, launching, and running a new business that offers a product, process, or service for sale or hires. Commonly, entrepreneurs involved in an entrepreneurial activity require support from their environment in terms of financing, advising, selling, etc.

is the phenomenon associated with entrepreneurial activity.

Steps in Entrepreneurship Process



- **Discovery**

  This is the stage in which the entrepreneur generates ideas, recognizes opportunities, and studies the market.
- **Concept Development**

  In this stage the discovered business opportunity/ idea is structured into an implementable business case. This is where business plans and business models are developed.
- **Resourcing**

This is the stage where entrepreneur identify and acquire the financial, human and capital resources required for the enterprise to start operating. The entrepreneur in this stage identifies the financiers for capital required in the business and acquire human capital required in the business.

- **Actualization/Launching**

  The stage in which the entrepreneur operates the business and utilizes resources to achieve its goals/objectives as outlined in the business plan or in the vision and mission of the business.
- **Harvesting/Growth**

  At this stage the entrepreneur decides on the growth, development or demise of an enterprise. This is where issues of expansion and diversification are considered.

2. Entrepreneur- Actors in Entrepreneurship

The word "entrepreneur" originates from the French word "*entrependre"*, which means "undertaker" as in the sense of someone undertaking a major project.

Entrepreneurs innovate. Innovation is the specific instrument of entrepreneurship. It is the act that endows resources with a new capacity to create wealth. Innovation indeed creates a resource."

They try to create new and different values and new and different satisfactions to convert a mate-rial into a resource or to combine existing resources in a new and more productive configuration. And it is change that always provides opportunity for the new and differ-ent products.

Entrepreneurial Mindset: is the inclination to discover, evaluate, and exploit opportunities. McGrath and MacMillan (2000) suggest that you know you have fully embraced the entrepreneurial mindset when you start to act and think like a habitual entrepreneur. As suggested by the name, habitual entrepreneurs are known for making

a career out of starting businesses, both within existing organizations and as independent ventures.

Entrepreneurial Characters

High degree of commitment Entrepreneurship is hard work, and launching a company successfully requires total commitment from an entrepreneur. Business founders often immerse themselves completely in their companies. Most entrepreneurs must overcome seemingly insurmountable barriers to launch a company and keep it growing.

Ability to accept change Entrepreneurs tend to have a high tolerance for ambiguous, ever-changing situations, the environment in which they most often operate. This ability to handle uncertainty is critical because entrepreneurs constantly make decisions using new, sometimes conflicting information gleaned from a variety of unfamiliar sources.

Creative Skills: One of the hallmarks of entrepreneurs is creativity. They constantly come up with new product or service ideas, unique ways to market their businesses, and innovative business models. Their minds are constantly at work developing unique business models, services, and products.

Ability to adapt to Change: One hallmark of true entrepreneurs is their ability to adapt to the changing needs and preferences of their customers and the changing demands of the business environment.

Entrepreneurial Environment- Space

Entrepreneurship environment refers to the various facets within which enterprises- big, medium, small and other have to operate. The environment therefore, influences the enterprise. By and large, an environment created by political, social, economic, national, legal forces, etc influences entrepreneurship.

Entrepreneurial environment is broadly classified into six important segments, namely, (1) Political environment, (2) Economic environment, (3) Social environment, (4) Technological environment, (5) Legal environment, and (6) Cultural environment

- **Political-**Political Atmosphere, Quality of Leadership
- **Economic-**Economic Policies, Labour, Trade, Tariffs, Incentives, Subsidies
- **Social-**Consumer, Labour, Attitudes, Opinions, Motives
- **Technological-**Competition And Risk, Efficiency, Productivity, Profitability
- **Legal-**Rules, Regulations
- **Cultural-**Structure, Aspirations And Values